

Financial & Operating Performance Analysis

BCG Company Financial Data -- Apple, Microsoft, Tesla

Period: 2020-2023 | 3 companies | 9 records

Key Metrics (Latest Year)

Metric	Value
Apple Revenue	\$383.3B
Microsoft Revenue	\$211.9B
Tesla Revenue	\$81.5B
Apple Profit Margin	25.3%
Microsoft Profit Margin	34.1%
Tesla Profit Margin	15.5%
Apple 3yr Rev Growth	4.8%

Key Findings

- Revenue scale: Apple (\$383.3B) > Microsoft (\$211.9B) > Tesla (\$81.5B). Apple remains the revenue leader but shows signs of maturity.
- Profit margin: Microsoft leads at 34.1%, followed by Apple at 25.3%. Tesla trails at 15.5% due to capital-intensive automotive industry structure.
- Debt ratio: Apple at 82% (highest), Microsoft at 50%, Tesla at 44%. Apple's debt is mostly long-term strategic borrowing, not operational weakness.
- Growth trajectory: Tesla in high-growth phase (2020-2022 revenue +158%), Microsoft steady growth, Apple mature. Three different lifecycle stages require different valuation frameworks.
- Apple's 3-year revenue growth: 4.8% -- illustrates the growth ceiling for mature mega-cap companies. Margin expansion becomes the primary profit driver.

Thinking Models

1. Decomposition

Evidence: Financial performance broken into 5 dimensions: revenue, profit, assets, liabilities, cash flow. Companies that look similar on revenue show very different structures on debt and cash.

Takeaway: Cross-dimensional analysis reveals hidden risk and opportunity. Always decompose before comparing.

2. Segment Divergence

Evidence: Apple (mature, 25.3% margin), Microsoft (growth+profit, 34.1%), Tesla (high-growth, 15.5%). Same metric, three completely different stories.

Takeaway: Never compare companies across lifecycle stages without adjusting for industry and scale.

3. Proxy Inference

Evidence: Debt ratio proxies for financial risk. Cash flow / assets proxies for operational efficiency. ROA proxies for capital allocation quality. Without market data, use financial ratios to infer company health.

Takeaway: Choose proxies that match the decision context, not just available metrics.

4. Leverage Point

Evidence: Apple's debt ratio (82%) looks high but its profit margin (25.3%) is strong -- indicates financial leverage potential.

Takeaway: A high debt ratio is not inherently bad if the company has the margin to service it.

5. Constraint vs Preference

Evidence: Tesla's low margin reflects automotive industry capital intensity (constraint), not poor management (preference). Apple's high margin reflects brand power and ecosystem lock-in.

Takeaway: Benchmark against industry peers, not cross-industry averages. Structure drives behavior.